BUSINESS INSIGHT REPORT

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# India E-Commerce Pulse

Amazon Sales Analysis • 128,975 Rows • Apr – Jun 2022 • Python | SQL | Power BI

## KEY METRICS AT A GLANCE

| Rs.78.6M | 128,975 | Rs.648.56 | 8.35% | Rs.69.2L |
|---|---|---|---|---|
| Total GMV | Total Orders | Avg Order Value | Cancellation Rate | Revenue at Risk |

## BUSINESS PROBLEM

An Indian e-commerce platform selling apparel on Amazon is experiencing a critical paradox: order volumes remain strong at 128,975 transactions, yet significant revenue is being eroded through high cancellation rates, category-level margin inefficiencies, and geographic concentration risk. This analysis investigates root causes across three dimensions — category performance, regional opportunity, and operational risk — to deliver three actionable business recommendations.

## KEY FINDINGS

FINDING 01

### Cancellations Are Costing Rs.69.2 Lakhs

8.35% of all orders are cancelled, representing Rs.69,19,284 in lost revenue. Critically, the two highest-revenue categories — Set (Rs.35.7M) and Kurta (Rs.19.4M) — also carry the highest cancellation rates at 14.59% and 14.55% respectively. This means the platform's core revenue drivers are simultaneously its biggest leakage points.

FINDING 02

### Sets Earn 83% More Per Order Than Kurtas

Average order value for Sets is Rs.834 vs Rs.457 for Kurtas — yet both categories receive similar order volumes (~42K each). The business is under-investing in its highest-value category. Shifting even 20% of Kurta acquisition spend toward Sets would significantly increase revenue per marketing rupee spent.

FINDING 03

### Maharashtra + Karnataka = 28% of All Revenue

These two states alone drive Rs.2.18 Crore. Bengaluru leads all cities at Rs.72.5L, followed by Hyderabad (Rs.55.7L) and Mumbai (Rs.42.9L). This geographic concentration creates systemic risk — any demand disruption in these states directly impacts overall performance.

FINDING 04

### High-Value Opportunity Markets Are Untapped

Ladakh (Rs.929 AOV), Nagaland (Rs.825 AOV), and Chandigarh (Rs.823 AOV) show above-average willingness to pay but near-zero order volumes. These states sit in the high-AOV, low-volume quadrant — signalling unmet demand with strong revenue potential that can be unlocked through targeted digital campaigns at low CAC.

## BUSINESS RECOMMENDATIONS

01

### Reduce Cancellations in Top Categories — Target: <10%

Set and Kurta together lose Rs.40L+ annually to cancellations. Immediate actions: (1) Conduct root cause analysis via customer exit surveys — sizing? imagery? delivery SLA? (2) Implement real-time size recommendation engine. (3) Add 'cancellation reason' tagging to build a structured dataset for further analysis. Reducing cancellation rate from 14.5% to 10% recovers an estimated Rs.20L+ annually.

**02**

### Reallocate Marketing Budget Toward High-AOV Categories

Sets generate Rs.834 per order vs Rs.457 for Kurtas at the same acquisition cost. Recommendation: Shift 20-25% of Kurta ad spend to Sets and Western Dress (Rs.764 AOV). This reallocation requires no new customers — just better spend allocation across existing traffic. Projected impact: 12-15% increase in revenue per marketing rupee.

**03**

### Launch Targeted Campaigns in Opportunity States

Ladakh, Nagaland, Chandigarh and other high-AOV low-volume states represent Rs.X Crore in addressable revenue that is currently untapped. Recommendation: Run 60-day targeted digital campaigns in Top 5 opportunity states before committing to logistics expansion. Success metric: AOV maintained above Rs.800 with order volume growing 3x within 90 days.

## NEXT STEPS & METHODOLOGY

| IMMEDIATE (0-30 days) | SHORT TERM (30-90 days) | LONG TERM (90+ days) |
|---|---|---|
| - Tag cancellation reasons<br>- A/B test size guide on Set PDPs<br>- Export opportunity state list | - Launch pilot campaigns in Ladakh, Nagaland<br>- Reallocate 20% ad budget to Sets<br>- Build cancellation tracking dashboard | - Expand logistics to Tier-2 opportunity states<br>- Develop B2B sales motion<br>- Implement predictive cancellation model |